The New Industrial Policy Observatory

Methodology

Why we assembled this Database

With greater focus on the digital and energy transitions, as well as the intensification of geopolitical rivalry, many policymakers advocate resort to selective policy intervention more often than in the past. Whether that has translated into state action and, if so, in what form has not been established empirically. Until now there has been no initiative dedicated to tracking these industrial policy strategies/plans, policies, and related subsidy awards (state aid).

The New Industrial Policy Observatory (NIPO) covered industrial policy measures announced since January 2023. The upgraded **New Industrial Policy Observatory** encompassed several enhancements including an expanded temporal horizon with the tracking of industrial policy measures adopted since 1 January 2009.

What is our definition of industrial policy

The NIPO records targeted/selective government intervention aimed at developing or supporting specific locally-based firms and sectors of economic activity with certain economic or noneconomic (e.g., security, social, or environmental) objectives in mind. Each announcement documented by the GTA team includes at least one new and credible promise for policy change that if executed would change competitive conditions between firms in markets at home or abroad. The NIPO piggybacks on the Global Trade Alert's machine-driven acquisition and human-checked info policy changes (where, for example, 800+ official websites scraped per week).

All entries in this Database are trade-, investment-, behind-the-border, tech-related policy measures or strategic plans that:

- were implemented by one of the customs territories actively tracked in-depth by the GTA monitoring team.
- cover the certain sectors or technologies of interest in the new industrial policy context.
- refers to the specific motivation or rationale explicitly stated by policymakers at the time of announcing or implementing a particular measure
- were implemented or announced since 1 January 2009.

Inclusion lense 1: Jurisdictions

Table 1. Jurisdictions covered by the NIPO

Algeria	Argentina	Australia	Austria
Bangladesh	Belgium	Bolivia	Bosnia & Herzegovina
Brazil	Bulgaria	Canada	Chile
China	Chinese Taipei	Colombia	Croatia
Cyprus	Czechia	Denmark	Ecuador
Egypt	Estonia	Finland	France
Germany	Ghana	Greece	Hong Kong
Hungary	Iceland	India	Indonesia
Iraq	Ireland	Israel	Italy
Japan	Kenya	Latvia	Lithuania
Luxembourg	Malaysia	Malta	Mexico
Morocco	Mozambique	Nepal	Netherlands
New Zealand	Nigeria	Norway	Pakistan
Peru	Philippines	Poland	Portugal
Qatar	Republic of Korea	Romania	Russia
Saudi Arabia	Serbia	Singapore	Slovakia
Slovenia	South Africa	Spain	Sweden
Switzerland	Thailand	Tunisia	Türkiye
Ukraine	United Arab Emirates	United Kingdom	United States of America
Vietnam			

Notes: Since January 2025, the GTA tracks in depth the following jurisdictions: Argentina, Australia, Austria, Bangladesh, Belgium, Brazil, Canada, Chile, China, Chinese Taipei, Croatia, Czechia, Denmark, Egypt, Finland, France, Germany, Ghana, Greece, Hong Kong, Hungary, India, Indonesia, Iraq, Ireland, Italy, Japan, Kenya, Malaysia, Mexico, Morocco, Nepal, Netherlands, New Zealand, Nigeria, Norway, Pakistan, Peru, Philippines, Poland, Portugal, Qatar, Russia, Republic of Korea, Saudi Arabia, Serbia, Singapore, Slovakia, Slovenia, South Africa, Spain, Sweden, Switzerland, Thailand, Türkiye, Ukraine, United Arab Emirates, United Kingdom, United States of America, Vietnam.

Inclusion lense 2: Sectors and technologies

The NIPO 2.0 includes measures covering the sectors and technologies specified in Table 2 and Table 3. On the one hand, sectors comprise different tariff lines aggregated in different categories.[1] On the other hand, the tracking of technologies relies on a combination identification from tariff lines and a text-mining approach. While sectors capture a broader dimension of industrial policy by identifying industrial policy measures covering particular tariff lines, technologies explicitly target industrial measures covering a particular product or technology. For example, the sector Advanced Technology Products captures industrial measures covering the tariff lines under this category. However, the technology Semiconductors capture industrial measures explicitly covering chips or semiconductors based on a combination of tariff lines and keywords found in the measure description in the GTA database.

Table 2. Sectors part of the NIPO

[1] The GTA and NIPO 2.0 Databases use the HS Nomenclature 2012 version.

Sector	Description
Low-Carbon Technology	The entry affects one or more tariff lines from the low-carbon technology list from the IMF Climate Change Indicators Dashboard.
Dual-Use Products	The entry affects one or more tariff lines from the dual-use items list from the EU covering the main 4 multilateral export control regimes (Wassenaar Arrangement, Nuclear Suppliers Group, Australia Group, Missile Technology Control Regime).
Critical Minerals	The entry affects one or more tariff lines from the list of critical raw minerals of the 31st Global Trade Alert Report: "The Scramble for Critical Raw Materials: Time to Take Stock?"
Advanced Technology Products	The entry affects one or more tariff lines from the Advanced Technology Products list assembled by US Census Bureau.
Medical Products	The entry covers tariff lines related to medical consumables, medical equipment, medicines and drugs, and vaccines from the GTA "Essential Goods Initiative" as well as organic and inorganic chemicals related to the production of medicines and active pharmaceutical ingredients from the OECD report titled "Shortages of medicines in OECD countries" (by Chapman, Dedet, and Lopert, 2022).
Chemicals	The entry affects tariff lines from the HS chapters 28 (inorganic chemicals) and 29 (organic chemicals, except those included in the previous category of medical products related to the production of medicines), 32 (tanning or dyeing extracts), 38 (chemical products n.e.c), and individual chemicals or groups of chemicals from the Rotterdam and Stockholm Convention.
IT or Digital Services	The entry affects one or more technological, digital or IT service sectors (CPC codes: 623, 831, 834, 839, 841, 842, 843).

Table 3. Technologies part of the NIPO

Categories	Technologies
Advanced IT Products	Semiconductors
	ICT
	Smartphones
Green Goods	Electric Vehicles
	PV Cells
	Wind Turbines
	Hydrogen
Batteries	Lithium-ion Battery
	Fuel-cell Battery
	Other Battery
Inputs	Aluminium
	Iron & Steel

Inclusion lense 3: Stated Motives

NIPO also captures stated motivation or rationale given by policymakers behind the announcement or implementation of a particular measure. Table 4 compiles the stated motives tracked in this initiative. Only in cases whether the official documentation associated with a policy measure specifies one of the following motives is it coded as such in the NIPO database.

Stated motives for the period 2009–2020 were estimated by applying a large language model (LLM) to the free-text policy descriptions in the Global Trade Alert (GTA) database, following the methodology in Evenett et al. (2025).[2] These narrative fields—written by GTA analysts for each intervention—summarise what the policy does and why it was introduced. The LLM processes this text to identify whether a stated motive is present and, when it is, classifies it into predefined categories such as green transition, competitiveness, national security, or security of supply.

Table 4. Stated motives

Motives	Definition
National security	The stated motivation refers to the current or future military security of the implementing country or specifically quotes "national security"
Resilience/security of supply (non-food)	The stated motivation refers to raising the stability or security of local supplies now or in the future.
Strategic competitiveness	The stated motivation is to promote domestic competitiveness or innovation in a particular product or sector.
Geopolitical concern	This value is used if an intervention's stated motivation is to counter the risk from a country or a class of countries. Classes can be defined by political system (e.g. autocracies), alliance (eg NATO, "axis of evil"), ideology (e.g. liberal) or geography (e.g. Middle East).
Climate change mitigation	The government stated motive of the action taken refers to the climate change mitigation, countering global warming, or the transition to the low-carbon economy.
Digital transformation	The action makes an explicit reference to the promotion/adoption/enhancement of digital transformation. This might refer to digitalisation in general, the support for the digitalisation of certain types of business (e.g. SMEs) or certain economic sectors (e.g. tourism), as well as the support of the digitalisation of certain projects or specific firms

What types of policy interventions cover industrial policy

NIPO includes granular policy instruments aggregated into the 9 categories displayed in Table 5.

[2] Simon Evenett, Adam Jakubik, Jaden Kim, Fernando Martín, Samuel Pienknagura, Michele Ruta, Sandra Baquie, Yueling Huang, and Rafael Machado Parente. "Industrial Policy Since the Great Financial Crisis", IMF Working Papers 2025, 222 (2025), accessed 11/13/2025, https://doi.org/10.5089/9798229027786.001

Table 5. Policy instruments

Categories	Definition
Export Policy	Such entries cover export bans, export licensing requirements, export quotas, export tariff quotas, export taxes, local supply requirements for exports, export-related non-tariff measures nes, and export price benchmark.
Import Policy	Such entries cover import bans, import monitoring, import licensing requirements, import quota, import tariff, import tariff quota, internal taxation of imports, import-related non-tariff measures nes, minimum import price, import price benchmark, other import charges, entry port restriction, selective import channel restriction, distribution restrictions, and post-sales service restriction
Trade Defence	Such entries cover anti-dumping, anti-subsidy and safeguards.
Subsidy	Such entries cover capital injections and equity stakes, financial grants, import incentives, in-kind grants, interest payment subsidies, price stabilisation, production subsidies, state aid nes, state loans, state aid unspecified, and tax or social insurance relief.
Export Incentive	Such entries cover export subsidies, financial assistance in foreign market, other export incentives, tax-based export incentives, and trade finance.
FDI Policy	Such entries cover FDI: entry and ownership rules, FDI: financial incentives, and FDI: treatment and operations nes.
Procurement Policy	Such entries cover changes to public procurement law or practice.
Localisation Policy	Such entries include localisation incentives or requirements.
Other Policy	Such entries include measures which were not classified under one of the previous categories.

What is the money allocated to industrial policy

For domestic subsidies announced or implemented since 2017, the GTA data captures the financial allocations or subsidy values in USD million. It is important to note that these financial allocations can be distributed over multiple years, and the total subsidy value is anticipated to increase as additional subsidy records become public. Subsidies can be awarded to specific firms (so labelled firm-specific) or open in principle to all firms in a given general subsidy programmes).

To convert subsidy values to USD, we use the exchange rates of the date of the announcement of the policy intervention on sites like x-rates.com. For actions where there is no specific announcement date (e.g. the Chinese firm-specific cases), we use the IMF annual average.

What are the potential trade spillovers from industrial policy

The NIPO database includes estimate the amount of trade covered by the industrial policy measure in USD million. These estimates are based on standard techniques to calculate the amount of trade covered (not reduced or increased) by a trade measure. The base year of the trade data is the previous year with respect to the implementation or announced year. Its interpretation depends on the policy type. For subsidies to local firms the trade covered corresponds to value of imports covered by the products sold by beneficiary firms. For export support measures the estimate corresponds to foreign imports covered by the products exported by the beneficiary firms.

The importance of reporting lags when comparing industrial policy counts over time

The NIPO includes the column **"Was First Reported Before This Inventory Month?"** which is TRUE if the measure has been added to the database before each round of the production data of NIPO. For example, for the September 2024 edition of the database, the cut-off date is August 29^{th}, i.e., this column is TRUE for those measures added to the GTA database before August 29^{th} in the year of announcement or implementation. Such an adjustment ensures that reported counts relate to the same length of reporting for each year.

This option is necessary to make a comparison in the number of industrial measures announced or implemented per year. When comparing current year activity to that of previous ones, the GTA recommends to use snapshots of the GTA database taken on the same date within each year. The GTA dataset is a growing dataset i.e., the GTA analysts continue reporting on years past. Thus, it is possible that a GTA trade policy analyst discovers in 2024 a thus far undocumented industrial policy intervention implemented in 2017.

Other dimensions

Initial assessment (change relative to 1 Jan 2009)

NIPO entries' assessment follow the Global Trade Alert's evaluation of the **potential trade effect**. For each entry, the direction of the change is assessed as either distortive or liberalising.[3]

- **Distortive**: Commerce-distorting measure. The intervention or proposal almost certainly discriminates against foreign commercial interests by restricting market access or by providing subsidies to locally-based producers.
- **Liberalising**: The intervention favours foreign firms vis-à-vis local rivals, opens market access on a non-discriminatory (i.e. most favoured nation) basis, or improves the transparency of a relevant policy.

Level of government implementation

The implementation level designates which government level or agency is responsible for the government action. This dimension is essential for identifying the scope and scale at which trade and industrial policies are implemented. It distinguishes whether a policy is local, regional, national, or international and whether the implementer is a governmental institution or a public

[3] Industrial plans and strategic are not categorised as distortive or liberalising as their potential trade effect may be unclear.

financing bank. Understanding the implementation level of a policy aids in assessing its impact and relevance across different geographical areas.

The different implementation level values used by the GTA team are:

- Supranational: Announcements by supranational bodies with binding consequences for their member states. Examples include the European Commission as well as the steering bodies of customs unions.
- National: Announcements made by central government agencies, including the central bank.
- Subnational: Announcements made by lower levels of government, such as regional, state, provincial and municipal governments.
- National Financial Institution (NFI): Announcements made by a publicly owned bank, such as the National Development Bank or Export-Import Bank. GTA-relevant central bank announcements are subsumed as part of the national level.
- International Financial Institution (IFI): Announcements made by a publicly owned bank with more than one shareholding member state

At the GTA, we always report the final governmental implementer, i.e. if the Ministry of Economy announces a loan scheme and says that the National Development Bank will manage the applications and provide the funds, NFI would appear in the implementation level.

Level of policy intervention

The NIPO captures industrial and strategy plans announced or implemented since 2023. It also identifies firm-specific industrial measures designed to affect a subset of (often named) firms within a sector or government policies or regulations.

For the **firm-specific industrial measures**, the NIPO captures the name of **the beneficiary firms** from a subsidy or **targeted firms** by trade defence measures.

Horizontal

The NIPO identifies industrial policies applying broadly across all the sectors in a country.

Screening mechanisms

The NIPO captures the screening of outward and inward FDI by domestic firms implemented since 2023.

Sanctions

The NIPO identifies industrial measures referring to trade-related sanctions imposed on national security or other foreign policy grounds.